

Broad Transactions ▾

840 Leases

840 Leases

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

840-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Acquiree	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Acquiree	Added	Accounting Standards Update No. 2010-07	01/28/2010
	Acquirer	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Acquisition by a Not-for-Profit Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Acquisition by a Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
	Bargain Purchase Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Bargain Renewal Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Business	Amended	Accounting Standards Update No. 2017-01	01/05/2017
	Business	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Business Combination	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Capital Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Contingent Rentals	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Contract	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Customer	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
	Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014

Direct Financing Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Direct Financing Leases	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Estimated Economic Life	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Fair Value of Lease Property	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Fiscal Funding Clause	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Heat Supply (or Burn-Up) Contracts	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Incremental Borrowing Rate	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Indirectly Related to the Leased Property	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Interest Rate Implicit in the Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Inception	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Legal Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Leveraged Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Minimum Lease Payments	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Noncancelable Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Nonprofit Activity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Nonprofit Activity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Not-for-Profit Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Operating Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Penalty	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Performance Obligation	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Probable	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Reasonably Possible	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Remote	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Revenue	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
Sales-Type Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Sales-Type Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Significant Influence	Superseded	Accounting Standards Update No. 2016-02	02/25/2016

Standalone Selling Price	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Standalone Selling Price	Added	Accounting Standards Update No. 2014-09	05/28/2014
Sublease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Substantially All	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Take-or-Pay Contract	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Variable Interest Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-05-1 through 05-10	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-10-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-15-1 through 15-23	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-15-9A	Added	Accounting Standards Update No. 2014-05	01/23/2014
840-10-15-19	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-10-25-1 through 25-69	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-25-2	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-10-25-27	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-10-25-46	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-10-25-47	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-10-25-55	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-10-25-61	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-10-30-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-30-2	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-35-5	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-10-35-1 through 35-10	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-35-8	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-10-35-9	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-10-40-1 through 40-4	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-45-1 through 45-4	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-50-1 through 50-5	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-50-2	Amended	Maintenance Update 2016-11 	06/27/2016
840-10-50-4	Amended	Maintenance Update 2016-11 	06/27/2016
840-10-55-1 through 55-10	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-55-7	Amended	Maintenance Update 2015-11 	06/19/2015
840-10-55-12 through 55-47	Superseded	Accounting Standards Update No. 2016-02	02/25/2016

840-10-55-14	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-10-55-14A	Added	Accounting Standards Update No. 2014-09	05/28/2014
840-10-60-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-60-2	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-60-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
840-10-60-4 through 60-6	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-10-60-4	Amended	Accounting Standards Update No. 2014-07	03/20/2014

05 Overview and Background

i General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 840-10-05-1
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-2
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-3
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-4
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-5
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-6
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-6A
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-7
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-8
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)

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- 840-10-05-9
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)
- 840-10-05-9A
- Paragraph superseded by [Accounting Standards Update No. 2016-02](#)

840-10-05-9B Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-05-9C Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-10-05-10 Paragraph superseded by Accounting Standards Update No. 2016-02

10 Objectives

i General Note: The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

840-10-10-1 Paragraph superseded by Accounting Standards Update No. 2016-02

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

840-10-15-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-15-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-15-3 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-15-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-15-5 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-15-6	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-7	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-8	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-9	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-9A	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-10	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-11	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-12	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-13	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-14	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-15	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-16	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-17	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-18	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-19	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-20	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-15-21	Paragraph superseded by Accounting Standards Update No. 2016-02

Lessees

840-10-15-22	Paragraph superseded by Accounting Standards Update No. 2016-02
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Lessors

840-10-15-23	Paragraph superseded by Accounting Standards Update No. 2016-02
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20 Glossary

 **General Note:**The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master

Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

840-10-25-1	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-2	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-3	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-4	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-5	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-6	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-7	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-8	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-9	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-10	Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-25-11	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-12	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-13	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-14	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-15	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-16	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-17	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-18	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-19	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-20	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-21	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-22	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-23	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-24	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-25	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-26	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-27	Paragraph superseded by Accounting Standards Update No. 2016-02

Lessees

840-10-25-28	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-29	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-30	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-31	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-32	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-33	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-34	Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-25-35	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-36	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-37	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-38	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-39	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-39A	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-39B	Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-10-25-40	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-41	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-42	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-43	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-44	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-45	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-46	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-47	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-48	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-49	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-50	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-51	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-52	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-53	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-54	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-55	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-56	Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-25-57	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-58	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-59	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-60	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-61	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-62	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-63	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-64	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-65	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-66	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-67	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-68	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-25-69	Paragraph superseded by Accounting Standards Update No. 2016-02

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Lessees

840-10-30-1 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-10-30-2 Paragraph superseded by Accounting Standards Update No. 2016-02

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

840-10-35-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-3 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-3A Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-5 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-6 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-7 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-8 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-9 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-35-9A Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-10-35-10 Paragraph superseded by Accounting Standards Update No. 2016-02

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

Lessees

840-10-40-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-40-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

840-10-40-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-40-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

840-10-45-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-45-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-45-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

840-10-45-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

840-10-50-1 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessees

840-10-50-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-50-3 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-10-50-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-50-5 Paragraph superseded by Accounting Standards Update No. 2016-02

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

840-10-55-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-55-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-55-3	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-4	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-5	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-6	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-7	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-8	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-9	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-10	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-11	Paragraph not used.
840-10-55-12	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-13	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-14	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-14A	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-15	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-16	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-17	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-18	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-19	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-20	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-21	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-22	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-23	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-24	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-25	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-26	Paragraph superseded by Accounting Standards Update No. 2016-02

840-10-55-27	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-28	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-29	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-30	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-31	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-32	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-33	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-34	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-35	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-36	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-37	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-38	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-39	Paragraph superseded by Accounting Standards Update No. 2016-02

Lessees

840-10-55-40	Paragraph superseded by Accounting Standards Update No. 2016-02
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Lessors

840-10-55-41	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-42	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-43	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-44	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-45	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-46	Paragraph superseded by Accounting Standards Update No. 2016-02
840-10-55-47	Paragraph superseded by Accounting Standards Update No. 2016-02

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

840-10-60-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-60-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-60-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

840-10-60-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-60-5 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessees

840-10-60-6 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-10-60-7 [Paragraph not used.](#)

65 Transition and Open Effective Date Information

General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

840-10-65-1 [Paragraph superseded on 07/01/2010 after the end of the transition period stated in EITF Issue No. 08-3, "Accounting by Lessees for Maintenance Deposits."](#)

840 Leases

20 Operating Leases

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

840-20-00-1

The following table identifies the changes made to this Subtopic.			
Paragraph	Action	Accounting Standards Update	Date
Bargain Purchase Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Bargain Renewal Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Capital Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Construction Period Lease Payments	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Direct Financing Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Indirectly Related to the Leased Property	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Incentive	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Inception	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Noncancelable Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Operating Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016

Original Lessee	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Penalty	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Sales-Type Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Sales-Type Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Sublease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-05-1 through 05-4	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-15-1 through 15-3	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-25-1 through 25-22	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-30-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-35-1 through 35-5	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-40-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-40-2	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-40-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
840-20-40-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
840-20-40-5	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-40-5	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-20-40-6	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-45-1 through 45-3	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-50-1 through 50-4A	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-20-50-4	Amended	Maintenance Update 2016-11 	06/27/2016
840-20-55-1 through 55-6	Superseded	Accounting Standards Update No. 2016-02	02/25/2016

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

840-20-05-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-20-05-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessees

840-20-05-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

840-20-05-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

840-20-15-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessees

840-20-15-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

840-20-15-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Direct Financing Lease

From the perspective of a [lessor](#), a [lease](#) that meets none of the criteria in paragraph [842-10-25-2](#) but meets the criteria in paragraph [842-10-25-3\(b\)](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Lessee

An entity that enters into a [contract](#) to obtain the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Lessor

An entity that enters into a [contract](#) to provide the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Sales-Type Lease

From the perspective of a [lessor](#), a [lease](#) that meets one or more of the criteria in paragraph [842-10-25-2](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Underlying Asset

An asset that is the subject of a [lease](#) for which a right to use that asset has been conveyed to a [lessee](#). The underlying asset could be a physically distinct portion of a single asset.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

- 840-20-25-1** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-2** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-3** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-4** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-5** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-6** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-7** Paragraph superseded by Accounting Standards Update No. 2016-02

Lessees

- 840-20-25-8** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-9** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-10** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-11** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-12** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-13** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-14** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-20-25-15** Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

- 840-20-25-16** Paragraph superseded by Accounting Standards Update No. 2016-02

840-20-25-17	Paragraph superseded by Accounting Standards Update No. 2016-02
840-20-25-18	Paragraph superseded by Accounting Standards Update No. 2016-02
840-20-25-19	Paragraph superseded by Accounting Standards Update No. 2016-02
840-20-25-20	Paragraph superseded by Accounting Standards Update No. 2016-02
840-20-25-21	Paragraph superseded by Accounting Standards Update No. 2016-02
840-20-25-22	Paragraph superseded by Accounting Standards Update No. 2016-02

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Lessees

840-20-30-1	Paragraph superseded by Accounting Standards Update No. 2016-02
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35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Lessees

840-20-35-1	Paragraph superseded by Accounting Standards Update No. 2016-02
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Lessors

840-20-35-2	Paragraph superseded by Accounting Standards Update No. 2016-02
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840-20-35-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-20-35-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-20-35-5 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

Lessees

840-20-40-1 [Paragraph superseded by Accounting Standards Update No. 2016-02.](#)

840-20-40-2 [Paragraph superseded by Accounting Standards Update No. 2016-02.](#)

Lessors

840-20-40-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

840-20-40-4 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

840-20-40-5 [Paragraph superseded by Accounting Standards Update No. 2016-02.](#)

840-20-40-6 [Paragraph superseded by Accounting Standards Update No. 2016-02.](#)

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Lessees

840-20-45-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

840-20-45-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-20-45-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

Lessees

[Related Proposed ASUs](#)

840-20-50-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-20-50-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-20-50-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

[Related Proposed ASUs](#)

840-20-50-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-20-50-4A [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

840-20-55-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-20-55-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-20-55-3 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessees

840-20-55-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-20-55-5 Paragraph superseded by Accounting Standards Update No. 2016-02

840-20-55-6 Paragraph superseded by Accounting Standards Update No. 2016-02

840 Leases

30 Capital Leases

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

840-30-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Acquiree	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Acquirer	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Acquisition by a Not-for-Profit Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Acquisition by a Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Advance Refunding	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Bargain Purchase Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Bargain Renewal Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Business	Amended	Accounting Standards Update No. 2017-01	01/05/2017
Business	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Business Combination	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Capital Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Contingent Rentals	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Delayed Equity Investment	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Direct Financing Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Direct Financing Leases	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Estimated Economic Life	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Estimated Residual Value	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Financing Receivable	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Financing Receivable	Added	Accounting Standards Update No. 2010-20	07/21/2010
Indirectly Related to the Leased Property	Superseded	Accounting Standards Update No. 2016-02	02/25/2016

Interest Method	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Inception	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Legal Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Leveraged Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Money-Over-Money Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Noncancelable Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Nonrecourse Financing	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Not-for-Profit Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Operating Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Original Lessee	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Penalty	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Sales-Type Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Sales-Type Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Sublease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Substantially All	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Variable Interest Entity	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-05-1 through 05-4	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-15-1 through 15-3	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-25-1 through 25-4	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-25-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014

840-30-25-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
840-30-25-6 through 25-10	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-25-6	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-30-25-10	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-30-30-1 through 30-15	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-30-15	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-30-35-1 through 35-53	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-35-14	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-30-35-32	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-30-40-1 through 40-9	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-40-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-30-40-5	Amended	Accounting Standards Update No. 2014-09	05/28/2014
840-30-45-1	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-45-1 through 45-7	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-45-3	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-45-7	Amended	Accounting Standards Update No. 2010-07	01/28/2010
840-30-50-1	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-50-1 through 50-6	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-50-2	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-50-4	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-50-4A	Added	Accounting Standards Update No. 2010-20	07/21/2010
840-30-50-5	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-50-5A	Added	Accounting Standards Update No. 2010-20	07/21/2010

840-30-55-1 through 55-60	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-30-55-29	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-55-34	Amended	Maintenance Update 2016-11 	06/27/2016
840-30-55-50	Amended	Accounting Standards Update No. 2010-07	01/28/2010

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 840-30-05-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)
- 840-30-05-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessees

- 840-30-05-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

- 840-30-05-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

840-30-15-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessees

840-30-15-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

840-30-15-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Acquiree

The [business](#) or [businesses](#) that the [acquirer](#) obtains control of in a [business combination](#). This term also includes a nonprofit activity or business that a not-for-profit acquirer obtains control of in an [acquisition by a not-for-profit entity](#).

Acquirer

The entity that obtains control of the [acquiree](#). However, in a [business combination](#) in which a [variable interest entity](#) (VIE) is acquired, the primary beneficiary of that entity always is the acquirer.

 PENDING CONTENT 

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [805-10-65-5](#)

The entity that obtains control of the [acquiree](#). See paragraphs [805-10-25-4 through 25-5](#) for guidance on determining the acquirer.

Acquisition by a Not-for-Profit Entity

A transaction or other event in which a not-for-profit acquirer obtains control of one or more nonprofit activities or businesses and initially recognizes their assets and liabilities in the acquirer's financial

statements. When applicable guidance in Topic 805 is applied by a [not-for-profit entity](#), the term [business combination](#) has the same meaning as this term has for a for-profit entity. Likewise, a reference to business combinations in guidance that links to Topic 805 has the same meaning as a reference to acquisitions by not-for-profit entities.

Business

Paragraphs [805-10-55-3A through 55-6](#) and [805-10-55-8 through 55-9](#) define what is considered a business.

Business Combination

A transaction or other event in which an [acquirer](#) obtains control of one or more [businesses](#). Transactions sometimes referred to as true mergers or mergers of equals also are business combinations. See also [Acquisition by a Not-for-Profit Entity](#).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Direct Financing Lease

From the perspective of a [lessor](#), a [lease](#) that meets none of the criteria in paragraph [842-10-25-2](#) but meets the criteria in paragraph [842-10-25-3\(b\)](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Financing Receivable

A financing arrangement that has both of the following characteristics:

- a. It represents a contractual right to receive money in either of the following ways:
 1. On demand
 2. On fixed or determinable dates.
- b. It is recognized as an asset in the entity's statement of financial position.

See paragraphs [310-10-55-13 through 55-15](#) for more information on the definition of financing receivable, including a list of items that are excluded from the definition (for example, debt securities).

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Legal Entity

Any legal structure used to conduct activities or to hold assets. Some examples of such structures are corporations, partnerships, limited liability companies, grantor trusts, and other trusts.

Lessee

An entity that enters into a [contract](#) to obtain the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Lessor

An entity that enters into a **contract** to provide the right to use an **underlying asset** for a period of time in exchange for consideration.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Sales-Type Lease

From the perspective of a **lessor**, a **lease** that meets one or more of the criteria in paragraph **842-10-25-2** and is not an operating lease in accordance with paragraph **842-10-25-3A**.

Underlying Asset

An asset that is the subject of a **lease** for which a right to use that asset has been conveyed to a **lessee**. The underlying asset could be a physically distinct portion of a single asset.

Variable Interest Entity

A **legal entity** subject to consolidation according to the provisions of the Variable Interest Entities Subsections of Subtopic **810-10**.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

Lessees

840-30-25-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-25-2 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-30-25-3 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-25-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-25-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

840-30-25-6 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-25-7 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-25-8 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-25-9 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-25-10 Paragraph superseded by Accounting Standards Update No. 2016-02

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Lessees

840-30-30-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-30-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-30-3 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-30-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-30-5 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-30-30-6 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-30-7	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-8	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-9	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-10	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-11	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-12	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-13	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-14	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-30-15	Paragraph superseded by Accounting Standards Update No. 2016-02

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Lessees

840-30-35-1	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-2	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-3	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-4	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-5	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-6	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-7	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-8	Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-35-9	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-10	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-11	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-12	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-13	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-14	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-15	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-16	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-17	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-18	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-19	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-20	Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-30-35-21	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-22	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-23	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-24	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-25	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-26	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-27	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-28	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-29	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-30	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-31	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-32	Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-35-33	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-34	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-35	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-36	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-37	Paragraph not used.
840-30-35-38	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-39	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-40	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-41	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-42	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-43	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-44	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-45	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-46	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-47	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-48	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-49	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-50	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-51	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-52	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-35-53	Paragraph superseded by Accounting Standards Update No. 2016-02

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

Lessees

840-30-40-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-40-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-40-3 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-40-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-40-5 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-30-40-6 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-40-7 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-40-8 Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-40-9 Paragraph superseded by Accounting Standards Update No. 2016-02

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Lessees

- 840-30-45-1**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-45-2**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-45-3**Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

- 840-30-45-4**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-45-5**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-45-6**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-45-7**Paragraph superseded by Accounting Standards Update No. 2016-02

50 Disclosure

 **General Note:**The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

Lessees

 [Related Proposed ASUs](#)

- 840-30-50-1**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-50-2**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-50-3**Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

 [Related Proposed ASUs](#)

- 840-30-50-4**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-50-4A**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-50-5**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-50-5A**Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-50-6**Paragraph superseded by Accounting Standards Update No. 2016-02

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

Lessees

- 840-30-55-1** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-2** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-3** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-4** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-5** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-6** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-7** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-8** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-9** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-10** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-11** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-12** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-13** Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

- 840-30-55-14** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-30-55-15** Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-55-16	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-17	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-18	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-19	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-20	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-21	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-22	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-23	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-24	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-25	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-26	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-27	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-28	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-29	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-30	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-31	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-32	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-33	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-34	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-35	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-36	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-37	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-38	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-39	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-40	Paragraph superseded by Accounting Standards Update No. 2016-02

840-30-55-41	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-42	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-43	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-44	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-45	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-46	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-47	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-48	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-49	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-50	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-51	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-52	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-53	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-54	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-55	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-56	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-57	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-58	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-59	Paragraph superseded by Accounting Standards Update No. 2016-02
840-30-55-60	Paragraph superseded by Accounting Standards Update No. 2016-02

S00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

840-30-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
840-30-S35-1	Superseded	Accounting Standards Update No. 2017-13	09/29/2017
840-30-S55-1	Superseded	Accounting Standards Update No. 2017-13	09/29/2017
840-30-S99-1	Superseded	Accounting Standards Update No. 2017-13	09/29/2017
840-30-S99-1	Amended	Accounting Standards Update No. 2010-04	01/15/2010
840-30-S99-2	Superseded	Accounting Standards Update No. 2017-13	09/29/2017
840-30-S99-2	Amended	Accounting Standards Update No. 2009-07	09/15/2009

S35 Subsequent Measurement

i General Note:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

840-30-S35-1 [Paragraph superseded by Accounting Standards Update No. 2017-13](#)

S55 Implementation Guidance and Illustrations

i General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

840-30-S55-1 Paragraph superseded by Accounting Standards Update No. 2017-13

S99 SEC Materials

General Note:As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

840-30-S99-1 Paragraph superseded by Accounting Standards Update No. 2017-13

840-30-S99-2 Paragraph superseded by Accounting Standards Update No. 2017-13

840 Leases
40 Sale-Leaseback Transactions
00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

840-40-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
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Active Use of the Property	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Bargain Purchase Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Bargain Renewal Option	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Capital Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Direct Financing Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Indirectly Related to the Leased Property	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Inception	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Minor	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Noncancelable Lease Term	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Nonrecourse Financing	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Normal Leaseback	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Operating Lease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Penalty	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Profit or Loss on Sale	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Property Improvements or Integral Equipment	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Reasonably Possible	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Remote	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Sale-Leaseback Accounting	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Sales Recognition	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Sales-Type Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021

Sublease	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Substantially All	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
Wrap Lease Transaction	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-05-1 through 05-3	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-05-5	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-05-7 through 05-10	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-15-1 through 15-10	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-25-1 through 25-5	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-25-8 through 25-18	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-30-2	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-30-3	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-30-5	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-30-6	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-35-1 through 35-4	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-50-1	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-50-2	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-55-1 through 55-94	Superseded	Accounting Standards Update No. 2016-02	02/25/2016
840-40-55-82 through 55-84	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

840-40-05-1 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-05-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-05-3 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-05-4 Paragraph not used.

840-40-05-5 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-05-6 Paragraph not used.

Lessees

840-40-05-7 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessors

840-40-05-8 Paragraph superseded by Accounting Standards Update No. 2016-02

Real Estate

840-40-05-9 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-05-10 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-05-11 Paragraph not used.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

840-40-15-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-15-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessees

840-40-15-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-15-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-15-5 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-15-6 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Lessors

840-40-15-7 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

Real Estate

840-40-15-8 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-15-9 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-15-10 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Direct Financing Lease

From the perspective of a [lessor](#), a [lease](#) that meets none of the criteria in paragraph [842-10-25-2](#) but meets the criteria in paragraph [842-10-25-3\(b\)](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Lessee

An entity that enters into a [contract](#) to obtain the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Lessor

An entity that enters into a [contract](#) to provide the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Sales-Type Lease

From the perspective of a [lessor](#), a [lease](#) that meets one or more of the criteria in paragraph [842-10-25-2](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Underlying Asset

An asset that is the subject of a [lease](#) for which a right to use that asset has been conveyed to a [lessee](#). The underlying asset could be a physically distinct portion of a single asset.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

840-40-25-1 Paragraph superseded by Accounting Standards Update No. 2016-02

Lessees

840-40-25-2 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-3 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-4 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-5 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-6 Paragraph not used.

840-40-25-7 Paragraph not used.

Lessors

840-40-25-8 Paragraph superseded by Accounting Standards Update No. 2016-02

Real Estate

840-40-25-9 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-10 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-11 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-12 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-13 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-14 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-15 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-16 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-17 Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-25-18 Paragraph superseded by Accounting Standards Update No. 2016-02

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Lessees

840-40-30-1 Paragraph not used.

840-40-30-2 Paragraph superseded by Accounting Standards Update No. 2016-02

- 840-40-30-3** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-40-30-4** Paragraph not used.
- 840-40-30-5** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-40-30-6** Paragraph superseded by Accounting Standards Update No. 2016-02

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Lessees

- 840-40-35-1** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-40-35-2** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-40-35-3** Paragraph superseded by Accounting Standards Update No. 2016-02
- 840-40-35-4** Paragraph superseded by Accounting Standards Update No. 2016-02

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

Lessees

- 840-40-50-1** Paragraph superseded by Accounting Standards Update No. 2016-02

Real Estate

840-40-50-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

Lessees

840-40-55-1 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-2 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-3 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-4 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-5 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-6 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-7 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-8 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-9 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-10 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-11 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-12 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-13 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-14 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-15 [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

840-40-55-16	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-17	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-18	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-19	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-20	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-21	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-22	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-23	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-24	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-25	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-26	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-27	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-28	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-29	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-30	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-31	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-32	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-33	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-34	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-35	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-36	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-37	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-38	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-39	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-40	Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-55-41	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-42	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-43	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-44	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-45	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-46	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-47	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-48	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-49	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-50	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-51	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-52	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-53	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-54	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-55	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-56	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-57	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-58	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-59	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-60	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-61	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-62	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-63	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-64	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-65	Paragraph superseded by Accounting Standards Update No. 2016-02

840-40-55-66	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-67	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-68	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-69	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-70	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-71	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-72	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-73	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-74	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-75	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-76	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-77	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-78	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-79	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-80	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-81	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-82	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-83	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-84	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-85	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-86	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-87	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-88	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-89	Paragraph superseded by Accounting Standards Update No. 2016-02
840-40-55-90	Paragraph superseded by Accounting Standards Update No. 2016-02

- 840-40-55-91** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)
- 840-40-55-92** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)
- 840-40-55-93** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)
- 840-40-55-94** [Paragraph superseded by Accounting Standards Update No. 2016-02](#)

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

840-40-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Codification Update	Date
	840-40-S55-1 through S55-3	Superseded	Accounting Standards Update No. 2017-13	09/29/2017
	840-40-S99-1 through S99-3	Superseded	Accounting Standards Update No. 2017-13	09/29/2017

S20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

S55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

840-40-S55-1 [Paragraph superseded by Accounting Standards Update No. 2017-13](#)

840-40-S55-2 [Paragraph superseded by Accounting Standards Update No. 2017-13](#)

840-40-S55-3 [Paragraph superseded by Accounting Standards Update No. 2017-13](#)

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

840-40-S99-1 [Paragraph superseded by Accounting Standards Update No. 2017-13](#)

840-40-S99-2 [Paragraph superseded by Accounting Standards Update No. 2017-13](#)

840-40-S99-3 [Paragraph superseded by Accounting Standards Update No. 2017-13](#)